When Parekh was appointed General Manager, the World Bank also took the step of restructuring the Board. Mehta, who had retired as India's Ambassador to the US, was made the new Chairman of the Board. In fact Black had been wooing Mehta for the job since June 1957. When asked what he proposed to do on his return to New Delhi, Mehta said that he had not made up his mind. He told Black that Prime Minister Nehru and the Deputy Chairman of the Planning Commission, Sir V.T. Krishnamachari, wanted him to join the Planning Commission with which he had been connected before he came to Washington. Black then asked Mehta if he would be interested in joining ICICI, as they in the World Bank felt that it had not been running satisfactorily. Black even went to the extent of telling Mehta that if the situation did not improve, the World Bank might even consider withdrawing from it.

Mehta thanked him for his offer and said that he would consider the proposal although he knew nothing about the Corporation and its working. Mehta's departure for India was delayed because he was asked to continue as Ambassador for some more time by T.T.K. in view of the fact that the question of aid was very important and Mehta had built up good contacts which might be useful to the government. Mehta agreed to continue in Washington on the condition that as soon as the first installment of aid was communicated to him by the US authorities, he would be free to return home. When in January 1958, the first quantum of aid of US $225 million was released, Mehta asked to be relieved of his charge in early May 1958.

When Black and Woods came to know about this, they renewed the ICICI offer. Mehta's informal discussions with Woods in this connection continued until he relinquished charge in May 1958. Mehta was non-committal but agreed to give this offer first preference although it might have to be on a part-time basis. Back in New Delhi, the government wanted Mehta back in the Planning Commission and take charge of the Industries Division. But it appears that Mehta had come to the conclusion that he could not make any useful contribution to the Planning Commission in the current set up and told Prime Minister Nehru as much, adding that rather than being useless in a large sphere, he preferred to be useful in a small sphere.

In the meanwhile, as noted before, Beale had retired in April 1958, and the World Bank was in search of a substitute from abroad. It had selected a